

...’ The author wrote this up at a split-adjusted price of \$6.31. Not only did Hansen never trade as low as \$6.31 again, but inside of 12 months the stock was at \$26!”

The company changed its name to Monster Beverage, its now signature product, in 2012.

Looking at historical results, it’s interesting to note that Monster never really got expensive, despite its reputation as a “high flyer.” Its price–earnings ratio was never out of line with its growth rate.

Year	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
P/E	28x	30x	29x	30x	17x	23x	30x	28x	35x	39x
% EPS growth	218%	60%	36%	-27%	99%	3%	34%	22%	5%	42%

Monster shows us the power of high sales growth and building a brand and the potent mix of high sales growth and rising profit margins and rising return on equity. It also shows you how independent-minded you had to be. There was no shortage of smart people telling you why Monster wouldn’t work.

But it did work — and in spectacular fashion.

Amazon

Next up is a name that will not need much of an introduction: Amazon.

The online retailing giant was a 100-bagger more than twice over.

Thompson Clark, one of the analysts I mentioned earlier, prepared the case study on Amazon, and what he found will surprise you. He’s cracked the code of what makes Amazon great.

Amazon was one you could’ve bought right out of the gate. Shares started trading in May of 1997. After adjusting for stock splits, your effective purchase price was \$1.50. “Before the century was done, you had your 100 bagger,” Thompson writes. “Shares hit a high of \$221 in April of 1999. Your gains were a cool, 14,633%. A 146-bagger.”

But that return was so fleeting, it doesn’t “count” for purposes of our study — which uses year-end data. Amazon wouldn’t see a price that high for more than a decade. “Amazon was, as you might imagine, not spared by the dot-com bust,” Thompson points out. “Shares fell back to earth, touching single digits by the middle of 2001.”

Looked at through the lens of our study, Amazon took about 13